Fortunately, there are other estimates. But before we come to these, it is perhaps helpful to better define what we mean by black money, and draw a distinction between black money, the black economy, black income and black wealth.

Simply put, *black income* is income on which tax is supposed to be paid, but on which it is not. This income is generated through activities in the *black economy*. Black income so accumulated leads to a store of *black wealth*.[4] The portion of black wealth held in cash is *black money*.

It is important to note that *all black income* and *black wealth is not cash*.

It is equally important to note that *all cash is not black money*.

Millions of legitimate transactions take place in cash, not just in India but everywhere in the world. The cash economy is an integral and vital part of the white economy.

Note that the sources of black income, and activities in the black economy can be either:

- Legal: For example, a chemist, who sells medicines without issuing a bill, and, as a consequence, pays neither GST nor Income Tax, is generating income from a legal activity, but if this is not declared for tax purposes, it is black income; or
- Illegal: For example, income generated from selling narcotics, prostitution, human trafficking, etc., are immoral and illegal activities. As tax is not paid on such income, this is also black income.

Note also, that some activities considered illegal in certain jurisdictions, such as gambling, are both legal and taxable in others, and can, therefore, be a source of legitimate white income (taxed or taxable, and accounted for) and white money.

Anyone trying to tackle the menace of the black economy must understand human behaviour. A person who works to generate